1 Consolidated statement of financial position workings

Section overview

There are a number of standard workings which should be used when answering consolidation questions.

1.1 Question technique

As questions increase in complexity, a formal approach to workings is needed. Review the standard workings below, then attempt Interactive question 1, which puts these into practice.

Note: You should use the proportionate basis for measuring the NCI at the acquisition date unless a question specifies the fair value basis.

Step 1 **Establish group structure**

P Ltd

↓ 80%

S Ltd

Step 2 Set out the **fair value of the identifiable assets acquired and liabilities assumed by P Ltd** (this may be equal to the carrying amount of the net assets of S Ltd at the date of acquisition if no fair value adjustments are required. Remember net assets = total equity; therefore, the calculation uses share capital and retained earnings/other reserves at acquisition, as adjusted for fair value movements).

	At year end	At acquisition	Post-acquisition
	CU	CU	CU
Share capital	X	X	X
Retained earnings	X	X	X
Fair value adjustments	X	X	X
	X	X	X

Step 3 Calculate **goodwill**

	CU
Consideration transferred	X
Plus non-controlling interests at acquisition	X
	X

Less fair value of identifiable assets acquired and liabilities assumed:		
Share capital	(X)	
Retained earnings/other reserves	(X)	
Fair value adjustments	(X)	
		(X)
Goodwill at acquisition		X
Impairment to date		(X)
Goodwill c/f		X

The double entry to consolidate the subsidiary will be:

		CU	CU
DR	Net assets (share capital + retained earnings/other reserves of subsidiary)	X	
DR	Goodwill	X	
CR	Investment in subsidiary (parent)		X
CR	Non-controlling interests		X

Step 4 Calculate **non-controlling interests (**NCI**) at year end**

	CU
At acquisition (NCI% × fair value of identifiable assets acquired and liabilities assumed at acquisition (W2) or NCI at fair value)	X
Share of post-acquisition profits and other reserves (NCI% × post-acquisition (W2))	X
	X

Step 5 **Calculate retained earnings**

	CU
P Ltd (100%)	X
S Ltd (share of post-acquisition retained earnings (W2))	X
Fair value adjustments	X/(X)
Goodwill impairment to date (W3)	(X)
Group retained earnings	X

Note: You should use the proportionate basis for measuring the NCI at the acquisition date unless a question specifies the fair value basis.

Interactive question 1: Consolidated statement of financial position workings

The following are the summarised statements of financial position of a group of companies as at 31 December 20X1.

	Raven Ltd	Viv Ltd	Nome Ltd
	CU	CU	CU
Non-current assets			
Property, plant and equipment	100,000	40,000	10,000
Investments			
Shares in Viv Ltd (75%)	25,000		
Shares in Nome Ltd (2/3)	10,000		
Current assets			
	45,000	40,000	25,000
	180,000	80,000	35,000

	Raven Ltd	Viv Ltd	Nome Ltd
	CU	CU	CU
Equity			
Share capital (CU1 ordinary)	50,000	20,000	10,000
Retained earnings	100,000	40,000	15,000
Total equity	150,000	60,000	25,000
Liabilities	30,000	20,000	10,000
	180,000	80,000	35,000

Raven Ltd acquired its shares in Viv Ltd and Nome Ltd during the year, when their retained earnings were CU4,000 and CU1,000 respectively. The fair value of identifiable assets acquired and liabilities assumed by Raven Ltd were equal to their carrying amounts at the date of acquisition. At the end of 20X1 the goodwill impairment review revealed a loss of CU3,000 in relation to the goodwill of Viv Ltd.

Requirement
Prepare the consolidated statement of financial position of Raven Ltd at 31 December 20X1.

Raven Ltd: Consolidated statement of financial position as at 31 December 20X1

	CU
Non-current assets	
Property, plant and equipment Intangible assets (W3)	
Current assets	
Equity attributable to owners of the parent Called up share capital	
Retained earnings (W5)	
Non-controlling interests (W4) Total equity	
Liabilities	

WORKINGS

(1) Group structure

(2) Fair value of identifiable assets acquired and liabilities assumed

	Year end	Acquisition	Post-acquisition
	CU	CU	CU
Viv Ltd			
Share capital Retained earnings			
Nome Ltd			
Share capital Retained earnings			

(3) Goodwill

	Viv Ltd	Nome Ltd	Total
	CU	CU	CU
Consideration transferred			
Non-controlling interests at acquisition Viv Ltd			
Nome Ltd			
Fair value of identifiable assets acquired and liabilities assumed at acquisition (= net assets)			
Goodwill			
Impairment to date			

(4) Non-controlling interests

	CU	CU
Viv Ltd		
- Share of fair value of net assets at acquisition		
- Share of post-acquisition		
Nome Ltd		
- Share of net assets at acquisition		
- Share of post-acquisition		

(5) Retained earnings

	CU
Raven Ltd	
Viv Ltd – Share of post-acquisition retained earnings	
	CU
Nome Ltd – Share of post-acquisition retained earnings Goodwill impairment to date (W3)	

See **Answer** at the end of this chapter.

2 Acquisitions made part-way through the reporting period

Section overview

- If a subsidiary is acquired part-way through the reporting period, its net assets at acquisition will need to be calculated.
- Unless told otherwise assume profits of the subsidiary accrue evenly over time.

2.1 Calculation

A parent entity is unlikely to acquire a subsidiary at the start or end of a year. If the subsidiary is acquired part-way through a reporting period (also known as 'mid-year'), it is necessary to calculate reserves, including retained earnings, at the date of acquisition.

This is necessary in order to:

- calculate the fair value of assets acquired and liabilities assumed at acquisition (which is required as part of the goodwill calculation); and
- calculate consolidated reserves eg, retained earnings.

Note: It is usually assumed that a subsidiary's profits **accrue evenly over time**.

Interactive question 2: Acquisition made part-way through the reporting period

P plc acquired 80% of S Ltd on 31 May 20X2 for CU20,000. S Ltd's retained earnings had stood at CU15,000 on 1 January 20X2. The fair value of the identifiable assets acquired and liabilities assumed by P plc were equal to their carrying amounts at the date of acquisition.

S Ltd's equity at 31 December 20X2 was as follows.

	CU
Share capital	1,000
Retained earnings	15,600
Equity	16,600

Requirements

2.1 Prepare the standard working for the fair value of identifiable assets acquired and liabilities assumed.

2.2 Prepare the standard working for goodwill on consolidation.

2.3 Calculate S Ltd's retained earnings which will be included in the consolidated retained earnings.

See **Answer** at the end of this chapter.

Professional skills focus: Structuring problems and solutions

It is important to pay attention to the date of acquisition. As we have seen, if a subsidiary is acquired part-way into a reporting period, this will affect the net assets at acquisition, the goodwill calculation and the calculation of group retained earnings.

3 Intra-group balances

Section overview

- Group accounts reflect transactions with third parties only.
- The effects of transactions between group members should be cancelled on consolidation.
- This is an application of the single entity concept.

3.1 The single entity concept

The objective of group accounts is to present the group **as a single entity**. As a single entity cannot trade with itself, the effects of **transactions between group members** need to be **eliminated**. These transactions could be between the parent company and a subsidiary or between two subsidiaries.

A single entity cannot owe money or other assets to itself, so any balances owed between group companies must be eliminated on consolidation.

Intra-group balances result from, for example:

- one group company's loans, debentures or redeemable preference shares held by another group company; or
- intra-group trading.

3.2 Loans, debentures and redeemable preference shares

A group company can provide a loan to another group company, or can provide finance to another group company, by holding its issued debentures or redeemable preference shares. These situations will give rise to an asset in one group company and a liability in another. On consolidation, we therefore need to **credit the asset balance** held by one company and **debit the liability balance** held by the other company in order to **remove the intra-group balances.**

Loans, debentures and redeemable preference shares attract interest and therefore result in a finance cost to one group company and finance income in the other (which has nil net effect on retained earnings). If that interest is unpaid at year end, there will be an intra-group receivable and payable in respect of interest, which also needs to be eliminated on consolidation by cancelling the debit and credit balances against each other.

3.3 Intra-group trading

Outstanding amounts in respect of intra-group trading are usually recorded in the statement of financial position in current accounts (= receivable or payable account for a fellow group company).

Step 1 Check that current accounts **agree** before cancelling. They may not agree if goods or cash are in transit at the year end.

Step 2 Make the intra-group balances agree by **adjusting for items in transit** in the **receiving company's accounts**. This is normally done by pushing forward the transaction into the recipient's accounts.

Step 3 **Cancel** the intra-group balances.

Context example: Intra-group trading

Extracts from the statement of financial position of Impala Ltd and its subsidiary Springbok Ltd at 31 March 20X4 are as follows.

	Impala Ltd	**Springbok Ltd**
	CU	**CU**
Receivable from Springbok Ltd	25,000	–
Payable to Impala Ltd	–	(20,000)

Springbok Ltd sent an electronic payment CU5,000 to Impala Ltd on 31 March 20X4, which Impala Ltd did not receive until 1 April 20X4.

Step 1 **Check that current accounts agree before cancelling**.

At present, the receivable in Impala's accounts is CU5,000 higher than the payable in Springbok's accounts because Springbok has recorded the payment made at year end, but Impala has not recorded the receipt until the following accounting period, therefore the current accounts do not agree.

Step 2 **Make the intra-group balances agree by adjusting for items in transit in the receiving company's accounts**.

Assume that Impala Ltd had received the cash from Springbok Ltd:

	Impala Ltd	**Springbok Ltd**
	CU	**CU**
Receivable from Springbok Ltd (25–5)	20,000	–
Cash and cash equivalents	5,000	–
Payable to Impala Ltd	–	(20,000)

Step 3 **Cancel the intra-group balances.**

The receivable and payable of CU20,000 can now be cancelled against each other, leaving just the CU5,000 cash balance in the consolidated statement of financial position.

	CU
Cash and cash equivalents	5,000

4 Unrealised intra-group profit

Section overview

- The consolidated statement of financial position should show assets at their cost to the group.
- Any profit arising on intra-group transactions should be eliminated from the group accounts until it is realised eg, by a sale outside the group.

4.1 Introduction

One of the implications of the application of the single entity concept is that group accounts should only reflect profits generated from transactions which have been undertaken with **third parties** ie, entities outside the group.

Intra-group activities may give rise to profits that are **unrealised** as far as the group as a whole is concerned. These profits can result from:

- **intra-group trading** when goods still held in inventory of buying company; and
- **intra-group transfers of non-current assets**.

Unrealised profits must be eliminated from the statement of financial position on consolidation to prevent the overstatement of group profits.

4.2 Inventories

As we have seen above, any receivable/payable balances outstanding between group companies, resulting from trading transactions, should be cancelled on consolidation. If these transactions have been undertaken at cost to the selling company no further problem arises.

However, each company in a group is a separate trading entity and may sell goods to another group member at a profit. **If these goods remain in inventories** at the end of the reporting period this profit is **unrealised** from the group's point of view.

In the consolidated statement of financial position, applying the **single entity concept**, inventories should be measured at the lower of cost and net realisable value **to the group**. Where goods transferred at a profit are still held in inventory at the year end, the unrealised profit should be **eliminated on consolidation**. This is achieved by creating a **provision for unrealised profit (PURP).**

The way in which this adjustment is made depends on whether the company making the sale is the parent or a subsidiary.

4.2.1 Parent sells goods to a subsidiary

The required treatment is best illustrated by an example.

Context example: Intra-group profit (P->S)

Ant Ltd, a parent company, sells goods which cost CU1,600 to Bee Ltd for CU2,000. Ant Ltd owns 75% of the shares in Bee Ltd. Bee Ltd still hold the goods in inventories at the year end.

In the single entity accounts of Ant Ltd the profit of CU400 should be recognised. In the single entity accounts of Bee Ltd the inventory should be measured at CU2,000.

If we simply add together the figures for retained earnings and inventory as recorded in the individual statements of financial position of Ant Ltd and Bee Ltd, the resulting figures for consolidated retained earnings and consolidated inventory will each be overstated by CU400. A consolidation adjustment is therefore necessary as follows:

	CU	CU
DR Seller's (Ant Ltd's) retained earnings (ie, adjust in **retained earnings** working)	400	
CR Inventories in consolidated statement of financial position		400

Note: In this example, as the **parent** was the seller the unrealised profit is **all 'owned' by the shareholders of Ant Ltd**. None is attributable to the **non-controlling interests**.

4.2.2 Subsidiary sells goods to parent or to another subsidiary

Where the subsidiary is the selling company the profit on the transfer will have been recorded in the subsidiary's books.

Context example: Intra-group profit (S->P or S)

Using the worked example above, if we now assume that Bee Ltd sold the goods to Ant Ltd the adjustment would be as follows:

	CU	CU
DR Seller's (Bee Ltd's) retained earnings (ie, adjust in **net assets** working 2)	400	
CR Inventories in consolidated statement of financial position		400

Notes

1 The **net assets of the subsidiary making the sale at the end of the reporting period** will be reduced by the amount of the unrealised profit. Any **subsequent calculations** based on this adjusted net assets figure will therefore be affected as follows:

- The **group share** of the post-acquisition retained earnings of the subsidiary should be reduced ie, the group will bear its share of the adjustment.
- The non-controlling interest will be based on these revised net assets ie, the non-controlling interest will bear its share of the adjustment.

2 Inventories in the consolidated statement of financial position should be reduced by the **full amount** of the unrealised profit **irrespective of whether the parent or a subsidiary is the selling company**. Non-controlling interest is only affected when the subsidiary is the seller.

3 If Bee Ltd had sold the goods to another subsidiary, rather than to the parent, the adjustment should be the same.

Interactive question 3: Unrealised profits

P Ltd owns 80% of S Ltd, which it acquired when the retained earnings of S Ltd were CU20,000.

The fair value of the assets acquired and liabilities assumed by P Ltd were equal to their carrying amounts at acquisition. No goodwill was recognised on acquisition. Statements of financial position at the end of the current accounting period are as follows.

	P Ltd	S Ltd
	CU	CU
Assets	170,000	115,000
Share capital	30,000	10,000
Retained earnings	100,000	65,000
Equity	130,000	75,000
Liabilities	40,000	40,000
	170,000	115,000

During the current accounting period S Ltd sold goods to P Ltd for CU18,000, which gave S Ltd a profit of CU6,000. At the end of the reporting period half of these goods were included in P Ltd's inventories.

Requirement

Prepare the journal entry to eliminate the unrealised profit and show how the adjustment to eliminate unrealised profits should appear in the consolidation workings for P Ltd.

See **Answer** at the end of this chapter.

4.3 Non-current asset transfers

As well as trading with each other, group companies may wish to transfer non-current assets (NCA), most commonly property, plant and equipment (PPE).

If the asset is transferred at a price different from its carrying amount immediately before the transfer, two issues arise:

- The selling company will have recorded **a profit or loss on sale**. This profit is unrealised (unless the asset is subsequently sold to a third-party) and must therefore be eliminated.
- The purchasing company will have **recorded the asset at the amount paid** to acquire it and will use that amount as the basis for calculating **depreciation**.

On consolidation, the **single entity concept** applies. The consolidated statement of financial position should show non-current assets at their **cost to the group**, and any **depreciation charged** should be based on **that cost**. In other words, the group accounts should reflect the non-current asset **as if the transfer had not been made**.

The adjustment in the consolidated statement of financial position should be calculated as follows:

	CU
Carrying amount of NCA at year end in the transferee's financial statements	X
Less carrying amount of NCA at year end if transfer had not been made	(X)
Unrealised profit	X

The adjustment for unrealised profit should then be made as:

	CU	CU
DR Selling company retained earnings	X	
CR NCA carrying amount in consolidated statement of financial position		X

This treatment is consistent with that of inventories.

4.3.1 Parent sells non-current asset to subsidiary

As with inventories, the impact of the adjustment will depend on whether the parent company or the subsidiary makes the sale.

Interactive question 4: Non-current asset transfers

P Ltd owns 80% of S Ltd. P Ltd transferred to S Ltd a non-current asset at a value of CU15,000 on 1 January 20X7. The original cost to P Ltd was CU20,000 and the accumulated depreciation at the date of transfer was CU8,000. The asset had, and still has, a total useful life of five years.

Requirement

Calculate the consolidated statement of financial position adjustment at 31 December 20X7. Fill in the proforma below.

Following the transfer, the asset will be measured in the accounts of S at:

	CU
Cost to S Ltd	
Less depreciation	

Had the transfer not been made, the asset would stand in the accounts of P (the transferor) at:

	CU
Cost	
Less: Accumulated depreciation at date of 'transfer' Charge for current year	
Overall adjustment in CSOFP	

	CU	CU
DR Seller's (P Ltd's) retained earnings* CR Non-current assets		

(* ie adjust in **retained earnings** working)

Note: In this question, as the **parent** is the selling company, **none of the adjustment is attributed to the non-controlling interests**.

See **Answer** at the end of this chapter.

4.3.2 Subsidiary sells non-current asset to parent

Again, a consolidation adjustment should be made to reflect the situation that would have existed if the transfer had not been made.

The amount of the adjustment should be calculated as before (see above). The adjustment is then made as follows:

	CU	CU
DR Seller's (S Ltd) retained earnings (adjust in net assets working)	X	
CR NCA carrying amount in consolidated statement of financial position		X

Notes

1 As the subsidiary is the seller the **adjustment to retained earnings should be made in the net assets working**.

2 Any **subsequent calculations** based on this net asset's figure will therefore be affected as follows:

- The **group share** of the post-acquisition retained earnings of the subsidiary will be reduced ie, as for sale of inventories.
- The **non-controlling interest** will be based on these revised net assets ie, as for sale of inventories.

5 Fair value adjustments

Section overview

- In calculating the goodwill acquired in a business combination, the identifiable assets acquired and liabilities assumed by the acquirer are measured at their fair value.
- A consolidation adjustment will be required for any difference between the fair values and the carrying amount of the net assets of the acquiree at the date of acquisition.

5.1 Calculation of goodwill

Where a subsidiary has not reflected fair values in its single entity financial statements, adjustments will need to be made as part of the consolidation process. Goodwill should be calculated by comparing the consideration transferred and the non-controlling interests in the subsidiary with the fair value of the assets acquired and the liabilities assumed by the acquirer at the date of acquisition. The **fair values** may be different to the carrying amount of the net assets of the acquiree in its single entity financial statements.

5.2 Reflecting fair values

The **identifiable assets acquired and liabilities assumed** by the acquirer should be brought into the consolidated financial statements at their **fair value**. Normally these fair values are **not reflected** in the **single entity financial statements**. Therefore, the difference between fair values and carrying amounts should be treated as a **consolidation adjustment** made only for the purposes of the consolidated financial statements.

Fair value is defined as follows by IFRS 13, Fair Value Measurement: The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Notes

1 If the carrying amount of the net assets of the acquiree are equal to the fair value of the assets acquired and liabilities assumed by the acquirer, no adjustment to the acquiree's net assets is needed.

2 **Goodwill** in the subsidiary's individual statement of financial position is **not** part of the **identifiable** assets acquired and liabilities assumed. If the subsidiary's own statement of financial position at acquisition includes goodwill, this **should not be consolidated**. When calculating the movement in the subsidiary's net assets, the subsidiary's retained earnings at acquisition and at the end of the reporting period should be reduced by the amount of the goodwill.

Adjustments should be made at acquisition and the impact of the fair value adjustments may also have to be carried forward in subsequent periods:

- In the consolidated statement of financial position changes will often be necessary to the acquiree's carrying amounts for non-current assets and the accumulated depreciation/amortisation.
- In the consolidated statement of profit or loss such changes will affect the current period's depreciation/amortisation charges.

Other adjustments may have to be made, depending on the circumstances. An adjustment will always be necessary for any contingent liabilities recognised at the acquisition date, to the extent they are only disclosed by way of note in the acquiree's financial statements.

Interactive question 5: Fair value adjustments

P Ltd acquires 60% of S Ltd on 31 December 20X4 for CU80,000. The statement of financial position of S Ltd at this date is as follows.

	CU
Freehold land	20,000
Goodwill arising on the acquisition of a sole trader	5,000
Other non-current assets	130,000
	155,000
Share capital	20,000
Retained earnings	85,000
Equity	105,000
Liabilities	50,000
	155,000

The fair value of assets acquired and liabilities assumed by P Ltd is equal to the carrying amount of the net assets of S Ltd, with the exception of freehold land, which has a fair value of CU30,000 at the date of acquisition.

Requirement

Calculate the goodwill acquired in the business combination with S Ltd. See **Answer** at the end of this chapter.

Interactive question 6: Fair value adjustments

Carrick Ltd acquired 60% of Ayr Ltd for CU8 million on 1 July 20X2 when Ayr Ltd's statement of financial position showed net assets of CU5 million. The fair value of the identifiable assets acquired and liabilities assumed by Carrick Ltd were equal to the carrying amount of Ayr Ltd's net assets, with the exception of property, plant and equipment. The property, plant and equipment had a fair value of CU1 million higher than its carrying amount and a remaining useful life of 10 years, which was not reflected in Ayr Ltd's accounting records. Ayr Ltd's financial statements at the date of acquisition also disclose a contingent liability for a claim for damages against it. The fair value of the claim was estimated at CU100,000, which was its fair value until 30 June 20X5 when it was re-estimated at
CU80,000. At 30 June 20X5 Ayr Ltd's statement of financial position shows net assets of CU10 million.

Requirements

6.1 Calculate Carrick Ltd's share of Ayr Ltd's post-acquisition movements in equity as at 30 June 20X5.

6.2 Calculate the goodwill arising on the acquisition of Ayr Ltd.

6.3 Calculate the adjustment to be made to Ayr Ltd's depreciation charge for inclusion in the consolidated statement of profit or loss for the year ended 30 June 20X5.

See **Answer** at the end of this chapter.

Professional skills focus: Assimilating and using information

In a consolidation question you will be faced with a lot of information. You need to evaluate the relevance of each piece of information and then use it appropriately. For example, if you are asked to prepare a consolidated statement of financial position, and you are told that the fair value of a subsidiary's property is higher than its carrying amount at acquisition, would you know the relevance of that information and how to use it? Would you know what other information you would need to determine the appropriate consolidation adjustments?

6 Other consolidation adjustments

Section overview

- If a subsidiary has reserves other than retained earnings, the group share of the post-acquisition reserves should be consolidated.
- The balances of the subsidiary should be adjusted to reflect the accounting policies of the parent company before consolidation.

6.1 Other reserves in a subsidiary

A subsidiary may have other reserves apart from retained earnings in its statement of financial position eg, a revaluation surplus. If this is the case, such reserves should be treated in exactly the same way as retained earnings.

- **Other reserves at acquisition** form part of the **net assets at acquisition**

- The **group share of any post acquisition** movement in other reserves should be **recognised** in the consolidated statement of financial position.

Notes

1 A **separate working** should be used for **each reserve**; do not mix retained earnings with other reserves as the other reserves may include amounts which are not distributable by way of dividend.

2 If a subsidiary is **loss-making or has any other negative reserves** the group should consolidate its share of the **post-acquisition losses/negative reserves**.

6.2 Accounting policy alignments

On consolidation **uniform accounting policies should be applied for all amounts**. This is another consequence of the **single entity concept**.

If the parent company and subsidiary have different accounting policies the balances in **the subsidiary's financial statements** should be adjusted **to reflect the accounting policies of the parent company**.

Note: These adjustments are made in the **net assets working**.

Interactive question 7: Accounting policy alignments

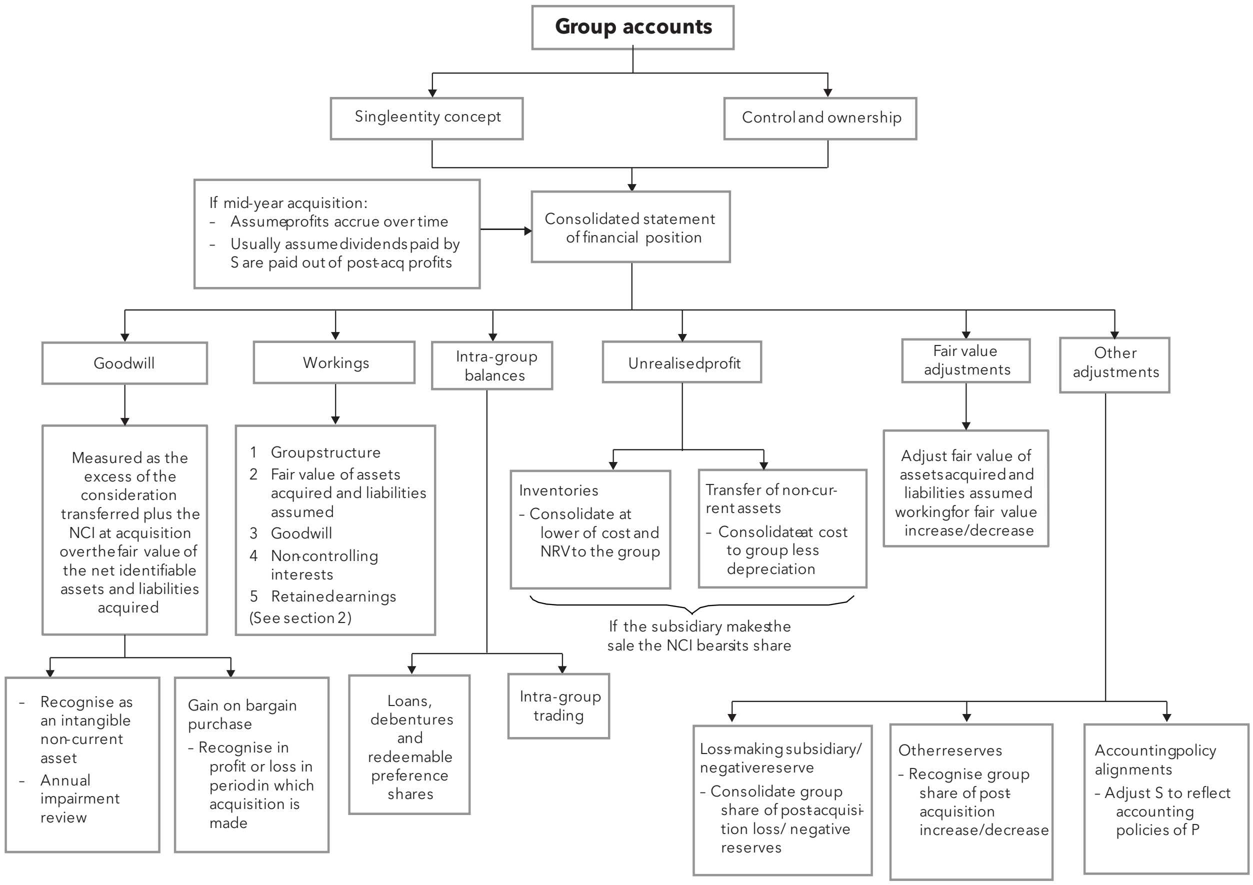
Westie Ltd has been 85% owned by Mastiff Ltd for some years. On 1 January 20X4 Westie Ltd acquired an investment property for CU2,000,000 and elected to apply the cost model, depreciating over 50 years. Therefore, the carrying amount at 31 December 20X4 was CU1,960,000. Group policy is to use the fair value model, and the fair value of property at the year-end is CU2,150,000.

Requirement

Set out the adjustment required in the preparation of the consolidated statement of financial position at 31 December 20X5.

See **Answer** at the end of this chapter.

Summary



CHAPTER 11

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you write out the standard workings for the consolidated statement of financial position? (Topic 1)
2.	Why is the date on which a subsidiary was acquired important? What if the acquisition was not on the first day of the reporting period? (Topic 2)
3.	If group companies trade with each other and the goods remain unsold at the period end, what consolidation adjustments are likely to be needed? (Topics 3 and 4)
4.	If the fair value of the identifiable assets acquired and liabilities assumed by the acquirer is higher than the carrying amount of the net assets of the acquiree at acquisition, can you explain what consolidation adjustments would be necessary? (Topic 4)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
VW plc	This question asks you to prepare several extracts from the consolidated financial statements, so it is a great question to test whether you have understood those individual bits of consolidation, aside from preparing the full consolidated statement.
Close Ltd	Part (a) of this question requires the preparation of a full consolidated statement of financial position, with lots of consolidation adjustments thrown in. It is great for practising the different topics covered in this chapter. Part (b) requires you to explain the adjustments required in respect of intra-group trading. Being asked to explain how to account for a transaction or balance is a great way to test whether you have fully grasped the concept.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Laois plc (part 2 only)	This part of the question tests whether you can explain the two different methods of measuring non-controlling interests under IFRS 3, with reference to an acquisition given in the scenario. The scenario includes a fair value adjustment. This question is a good test of your ability to explain the principles and calculate both goodwill and non-controlling interests.
Frogmette plc (part 1 (issues 1 and 2 only))	Part 1 issues 1 and 2 concern the acquisition of a subsidiary and test whether you can explain how to account for contingent consideration and determine the accounting treatment of a previously unrecognised intangible asset.
Advent plc (part 1 – issue 1 only)	This question tests many of the topics covered in this chapter and Chapter 10 – control, fair value of consideration and calculating goodwill. It is also a mid-year acquisition. This question is a good test of how much you have understood on this topic and whether you can explain and apply that knowledge.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical reference

For a comprehensive Technical reference section, covering all aspects of group accounts (except group statements of cash flows) see Chapter 10.

Self-test questions

Answer the following questions.

1 Black plc

The summarised statements of financial position of Black plc and Red plc at 31 December 20X6 were as follows.

	Black plc CU	Red plc CU
Total assets	60,000,000	29,000,000
Share capital	20,000,000	10,000,000
Retained earnings	24,000,000	4,000,000
Equity	44,000,000	14,000,000
Current liabilities	16,000,000	15,000,000
Total equity and liabilities	60,000,000	29,000,000

On 1 January 20X7 Black plc bought all the share capital of Red plc for CU17,000,000 in cash. The fair values of the assets acquired and liabilities assumed at the date of acquisition were equal to their carrying amounts at the date of acquisition.

Requirement

What will be the amount of retained earnings to be included in the consolidated statement of financial position as at 1 January 20X7?

2 Milton plc

Milton plc owns all the share capital of Keynes Ltd. The following information is extracted from the individual company statements of financial position as on 31 December 20X1.

	Milton plc CU	Keynes Ltd CU
Current assets	500,000	200,000
Current liabilities	220,000	90,000

Included in Milton plc's current liabilities is a balance in respect of Keynes Ltd of CU20,000. The equivalent balance within current assets of Keynes Ltd is CU22,000. The difference between those figures is accounted for by cash in transit.

Requirement

If there are no other intra-group balances, what are the amounts of current assets and current liabilities in the consolidated statement of financial position of Milton plc and its subsidiary?

3 Laker Ltd

Laker Ltd owns 80% of the ordinary shares of Hammond Ltd. The following amounts have been extracted from their draft financial statements at 31 December 20X0.

	Laker Ltd	Hammond Ltd
	CU	CU
Current liabilities		
Trade payables	5,200	7,100
Amount owed to subsidiary	500	–
Income tax	100	150
Amounts owed to trade investments	150	200
Other payables	50	70
	6,000	7,520

Hammond Ltd shows an amount receivable from Laker Ltd of CU620 and the difference is due to cash in transit.

Requirement

What is the total carrying amount of current liabilities in the consolidated statement of financial position of Laker Ltd?

4 Austen plc

Austen plc has owned 100% of Kipling Ltd and 60% of Dickens Ltd for many years. At 31 December 20X5 the trade receivables and trade payables shown in the individual company statements of financial position were as follows.

	Austen plc	Kipling Ltd	Dickens Ltd
	CU	CU	CU
Trade receivables	50,000	30,000	40,000
Trade payables	30,000	15,000	20,000
Trade payables comprise amounts owing to:			
Austen	–	–	–
Kipling	2,000	–	4,000
Dickens	3,000	–	–
Other suppliers	25,000	15,000	16,000
	30,000	15,000	20,000

The intra-group accounts agreed after taking into account the following.

(1) An invoice for CU3,000 posted by Kipling Ltd on 31 December 20X5 was not received by Austen plc until 2 January 20X6.

(2) A cheque for CU2,000 posted by Austen plc on 30 December 20X5 was not received by Dickens Ltd until 4 January 20X6.

Requirement

What amount should be shown as trade receivables in the consolidated statement of financial position of Austen plc?

5 Ho plc

The following is the draft statement of financial position information of Ho plc and Su Ltd, as on 30 September 20X2.

	Ho plc	Su Ltd
	CU	CU
Ordinary CU1 shares	2,600,000	1,000,000
Retained earnings	750,000	700,000
Trade payables	350,000	900,000
Other payables		100,000
Total assets	3,700,000	2,700,000

Ho plc acquired 60% of the share capital of Su Ltd several years ago when Su Ltd's retained earnings were CU300,000. The fair value of the identifiable assets acquired and liabilities assumed by Ho plc were equal to the carrying amount of the net assets of Su Ltd other than an estimated audit fee of
CU40,000, which has not been recognised in the financial statements of Su Ltd at 30 September 20X2.

Requirement

What should the amount of consolidated retained earnings be on 30 September 20X2?

6 Oxford Ltd

Oxford Ltd owns 100% of the issued share capital of Cambridge Ltd and sells goods to its subsidiary at a profit margin of 20%. At the year end their statements of financial position showed inventories of:

Oxford Ltd CU290,000

Cambridge Ltd CU160,000

The inventory of Cambridge Ltd included CU40,000 of goods supplied by Oxford Ltd and there was inventory in transit from Oxford to Cambridge amounting to a further CU20,000.

Requirement

At what amount should inventory be carried in the consolidated statement of financial position?

7 Rugby Ltd

Rugby Ltd has a 75% subsidiary, Stafford Ltd, and is preparing its consolidated statement of financial position as on 31 December 20X6. The carrying amount of property, plant and equipment in the two companies at that date is as follows.

Rugby Ltd	CU260,000
Stafford Ltd	CU80,000

On 1 January 20X6 Stafford Ltd had transferred some equipment to Rugby Ltd for CU40,000. At the date of transfer the equipment, which had cost CU42,000, had a carrying amount of CU30,000 and a remaining useful life of five years. The group accounting policy is to depreciate equipment on a straight-line basis down to a nil residual value.

Requirement

What figure should be disclosed as the carrying amount of property, plant and equipment in the consolidated statement of financial position of Rugby Ltd as on 31 December 20X6?

8 Lynton Ltd

Lynton Ltd acquired 75% of the 200,000 CU1 ordinary shares and 50% of the 100,000 CU1 redeemable preference shares of Pinner Ltd when its retained earnings were CU24,000. The fair value of the identifiable assets acquired and liabilities assumed by Lynton Ltd were equal to their carrying amounts in the financial statements of Pinner Ltd at the date of acquisition. The retained earnings of Lynton Ltd and Pinner Ltd are now CU500,000 and CU60,000 respectively.

Requirement

What amounts for non-controlling interest and consolidated retained earnings should be included in the current consolidated statement of financial position?

9 Hill plc

Hill plc owns 60% of the ordinary share capital of Down plc and all of its 10% borrowings. The following transactions have been recorded by Down plc as at 31 December 20X3.

Half year's interest due: CU15,000 Interim dividend paid: CU50,000

Hill plc has not yet accounted for the interest receivable from Down plc.

Requirement

In preparing the consolidated statement of financial position for Hill plc and its subsidiary at 31 December 20X3, what adjustments are required in respect of intra-group dividends and debenture interest?

10 Nasty Ltd

Nasty Ltd and Horrid Ltd are wholly-owned subsidiaries of Ugly Ltd. Inventory in their individual statements of financial position at the year end is shown as follows.

Ugly Ltd: CU30,000 Horrid Ltd: CU10,000 Nasty Ltd: CU20,000

Sales by Horrid Ltd to Nasty Ltd during the year were invoiced at CU15,000, which included a profit to Horrid Ltd of 25% on cost. Two thirds of these goods were in inventory at the year end.

Requirement

At what amount should inventory appear in the consolidated statement of financial position?

11 Fallin Ltd

Fallin Ltd acquired 100% of the share capital of Gaydon Ltd for CU150,000 on 1 May 20X6. The fair value of the identifiable assets acquired and liabilities assumed by Fallin Ltd were equal to their carrying amounts at the date of acquisition. Equity at 30 April was as follows.

	Fallin Ltd	Gaydon Ltd	Gaydon Ltd
	20X7	20X7	20X6
	CU	CU	CU
Ordinary share capital	100,000	50,000	50,000
Revaluation surplus	-	25,000	15,000
Retained earnings	340,000	135,000	25,000
	440,000	210,000	90,000

An impairment review at 30 April 20X7 revealed that goodwill acquired in the business combination with Gaydon Ltd had become impaired by CU6,000 in the year.

Requirement

What should the consolidated equity of the Fallin Ltd group be on 30 April 20X7?

12 VW plc

With reference to the information below, answer the requirements with respect to the consolidated financial statements of VW plc.

Summarised statements of financial positionas at 30 September 20X7

	VW plc	Polo Ltd	Golf Ltd
	CU	CU	CU
ASSETS			
Property, plant and equipment	200,000	40,000	30,000
Investments			
100,000 shares in Polo Ltd	150,000	–	–
40,000 shares in Golf Ltd	70,000	–	–
Current assets			
Inventories	150,000	90,000	80,000
Trade receivables	250,000	40,000	20,000
Cash	50,000	20,000	10,000
	870,000	190,000	140,000

EQUITY AND LIABILITIES			
Equity			
Ordinary shares of CU1 each	500,000	100,000	50,000
Retained earnings	90,000	40,000	70,000
Total equity	590,000	140,000	120,000
Current liabilities	280,000	50,000	20,000
	870,000	190,000	140,000

Notes

1. VW plc acquired its shares in Polo Ltd on 1 October 20X5 when Polo Ltd's retained earnings were CU30,000. The fair value of the assets acquired and liabilities assumed by VW plc were equal to their carrying amounts at the date of acquisition.
2. VW plc acquired its shares in Golf Ltd on 30 September 20X6. Golf Ltd's net profit for the year ended 30 September 20X7 was CU30,000.
3. It is the policy of the VW group to measure the non-controlling interests using the proportionate basis.
4. Included in Polo Ltd's inventory at 30 September 20X7 was CU15,000 of goods purchased from VW plc during the year. VW plc invoiced Polo Ltd at cost plus 50%.
5. During the year ended 30 September 20X7 Polo Ltd sold goods costing CU50,000 to Golf Ltd for CU70,000. Golf Ltd still had half of these goods in inventory at 30 September 20X7.
6. The following intra-group balances are reflected in the above statement of financial position of VW plc at 30 September 20X7.

   CU20,000 receivable from Polo Ltd

   CU10,000 payable to Golf Ltd

Requirements

12.1 What should the amount of non-controlling interest be?

12.2 What is the total of group inventories?

12.3 What is group trade receivables?

12.4 What amount of goodwill should be included under intangible assets?

12.5 Consolidated retained earnings should be presented at what amount?

13 Dublin Ltd

The following are the summarised statements of financial position of a group of companies as at 31 December 20X9.

	Dublin Ltd	Shannon Ltd	Belfast Ltd
	CU	CU	CU
ASSETS			
Non-current assets			
Property, plant and equipment	90,000	60,000	50,000
Investments: 40,000 CU1 shares in Shannon	50,000	–	–
12,000 6% loan notes of Shannon	12,000		
30,000 CU1 shares in Belfast	45,000		
	197,000	60,000	50,000
Current assets	203,000	70,000	30,000
Total assets	400,000	130,000	80,000
EQUITY AND LIABILITIES			
Equity			
Ordinary share capital	190,000	50,000	40,000
Revaluation surplus	–	10,000	–
Retained earnings	60,000	30,000	16,000
Total equity	250,000	90,000	56,000
Non-current liabilities – loan notes	-	20,000	-
Current liabilities	150,000	20,000	24,000
Total equity and liabilities	400,000	130,000	80,000

Dublin Ltd purchased its shares and loan notes in Shannon Ltd five years ago when there were retained earnings of CU20,000 and a balance on its revaluation surplus of CU10,000.

Belfast Ltd had retained earnings of CU16,000 when Dublin Ltd acquired its shares on 1 January 20X9. The fair value of assets acquired and liabilities assumed were equal to their carrying amounts at the date of acquisition.

At the end of 20X9 the goodwill impairment review revealed a loss of CU300 in relation to the goodwill acquired in the business combination with Belfast Ltd.

During November 20X9, Shannon Ltd had sold goods to Belfast Ltd for CU12,000 at a mark-up on cost of 20%. Half of these goods were still held by Belfast Ltd at 31 December 20X9.

Dublin Ltd prefers to measure the non-controlling interests using the proportionate method wherever possible.

Requirement

Prepare the consolidated statement of financial position as at 31 December 20X9 of Dublin Ltd and its subsidiaries.

14 Close Ltd

The summarised statements of financial position of Close Ltd and Steele Ltd as at 31 December 20X9 were as follows.

		Close Ltd		Steele Ltd
ASSETS	**CU**	**CU**	**CU**	**CU**
Non-current assets				
Property, plant and equipment		80,000		58,200
Investments		84,000		
		164,000		58,200
Current assets				
Inventories	18,000		12,000	
Trade and other receivables	62,700		21,100	
Investments	–		2,500	
Cash and cash equivalents	10,000		3,000	
Current account – Close Ltd			3,200	
		90,700		41,800
Total assets		254,700		100,000
EQUITY AND LIABILITIES				
Equity				
Ordinary share capital (CU1 shares)		120,000		60,000
Share premium account		18,000		–
Revaluation surplus		23,000		16,000
Retained earnings		56,000		13,000
Total equity Current liabilities		217,000		89,000
Trade and other payables				
	35,000		11,000	
Current account – Steele Ltd	2,700			
		37,700		11,000
Total equity and liabilities		254,700		100,000

The following information is relevant.

(1) On 1 January 20X7 Close Ltd acquired 48,000 shares in Steele Ltd for CU84,000 cash when the retained earnings of Steele Ltd were CU8,000 and the balance on the revaluation surplus was CU16,000.

(2) The fair value of identifiable assets acquired and liabilities assumed by Close Ltd were equal to the carrying amount of Steele Ltd's net assets at the date of acquisition, except for a contingent liability. The contingent liability was disclosed in the financial statements of Steele Ltd as a potential CU300,000, although its fair value was assessed at CU58,000. A final decision on this matter is expected to be reached within the next 12 months.

(3) The inventories of Close Ltd include CU4,000 of goods from Steele Ltd invoiced to Close Ltd at cost plus 25%.

(4) An electronic payment for CU500 from Close Ltd to Steele Ltd, sent on 31 December 20X9, was not received by Steele Ltd until 1 January 20Y0.

(5) An impairment review at 31 December 20X9 revealed that an impairment loss of CU500 in respect of goodwill on the acquisition of Steele Ltd needs to be recognised. By 1 January 20X9 this goodwill had already suffered impairments totalling CU1,700.

(6) Close Ltd chose to measure the non-controlling interests in Steele Ltd using the proportionate method.

Requirements

14.1 Prepare the consolidated statement of financial position of Close Ltd and its subsidiary Steele Ltd as at 31 December 20X9.

14.2 Explain the adjustments necessary in respect of intra-group sales when preparing the consolidated statement of financial position of the Close Ltd group.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Raven Ltd: Consolidated statement of financial position as at 31 December 20X1

	CU
Non-current assets	
Property, plant and equipment (100,000 + 40,000 + 10,000)	150,000
Intangible assets (W3)	6,667
	156,667
Current assets (45,000 + 40,000 + 25,000)	110,000
	266,667
Equity attributable to owners of the parent	
Called up share capital	50,000
Retained earnings (W5)	133,333
	183,333
Non-controlling interests (W4)	23,334
Total equity	206,667
Liabilities (30,000 + 20,000 + 10,000)	60,000
	266,667

WORKINGS

(1) **Group structure**

Raven Ltd

75% 2/3

Viv Ltd Nome Ltd

(2) Fair value of identifiable assets acquired and liabilities assumed

	Year end	Acquisition	Post-acquisition
Viv Ltd	CU	CU	CU
Share capital	20,000	20,000	
Retained earnings	40,000	4,000	36,000
	60,000	24,000	
Nome Ltd			
Share capital		10,000	10,000

	Year end	Acquisition	Post-acquisition
	CU	CU	CU
Retained earnings	15,000	1,000	14,000
	25,000	11,000	

(3) Goodwill

	Viv Ltd	Nome Ltd	Total
	CU	CU	CU
Consideration transferred	25,000	10,000	
Non-controlling interests at acquisition			
Viv Ltd (25% × 24,000 (W2))	6,000		
Nome Ltd (1/3 × 11,000 (W2))		3,667	
Fair value of identifiable assets acquired and liabilities assumed at acquisition (= net assets)	(24,000)	(11,000)	
Goodwill	7,000	2,667	9,667
Impairment to date	(3,000)		(3,000)
	4,000	2,667	6,667

(4) **Non-controlling interests**

	CU	CU
Viv Ltd		
– Share of fair value of net assets at acquisition (25% × 24,000 (W2))	6,000	
– Share of post-acquisition (25% × 36,000 (W2))	9,000	
		15,000
Nome Ltd		
– Share of net assets at acquisition (1/3 × 11,000 (W2))	3,667	
– Share of post-acquisition (1/3 × 14,000 (W2))	4,667	
		8,334
		23,334

(5) **Retained earnings**

	CU
Raven Ltd	100,000
Viv Ltd – Share of post-acquisition retained earnings (75% × 36,000 (W2))	27,000
Nome Ltd – Share of post-acquisition retained earnings (2/3 × 14,000 (W2))	9,333
Goodwill impairment to date (W3)	(3,000)
	133,333

Answer to Interactive question 2

2.1 Calculation as follows: WORKING

Fair value of identifiable assets acquired and liabilities assumed

	Year end	Acquisition	Post-acquisition
	CU	**CU**	**CU**
Share capital	1,000	1,000	
Retained earnings (15,000 + (5/12 × (15,600 – 15,000)))	<u>15,600</u>	<u>15,250</u>	350
	16,600	16,250	

2.2 Calculations as follows:

WORKING

Goodwill

	CU
Consideration transferred	20,000
Plus non-controlling interests at acquisition (16,250 (from FVIAALA working) × 20%)	3,250
Less fair value of identifiable assets acquired and liabilities assumed (from FVIAALA working)	<u>(16,250)</u>
	7,000

2.3 Profit from S Ltd included in consolidated retained earnings

	CU
Share of post-acquisition retained earnings of S Ltd (80% × 350 (from FVIAALA working))	280

Answer to Interactive question 3

		CU	CU
DR	Seller's (S Ltd's) retained earnings (adjust in net assets working)	3,000	
CR	Inventories in CSOFP (1/2 × 6,000)		3,000

WORKINGS

(1) Group structure

P Ltd

↓ 80%

S Ltd

(2) Fair value of identifiable assets acquired and liabilities assumed

		Year end	Acquisition	Post-acquisition
	CU	CU	CU	CU
Share capital		10,000	10,000	
Retained earnings				
Per question	65,000			
Less PURP	(3,000)			
		62,000	20,000	42,000
		72,000	30,000	

(3) Non-controlling interests

		CU
Share of net assets at acquisition	(20% × 30,000)	6,000
Share of post-acquisition (W2)	(20% × 42,000)	8,400
		14,400

(4) Retained earnings

CU	
P Ltd	100,000
Share of S Ltd (80% × 42,000 (W2))	33,600
	133,600

Answer to Interactive question 4

Following the transfer, the asset will be measured in the accounts of S at:

	CU
Cost to S Ltd	15,000
Less depreciation (15,000/3 remaining years (8,000 is 2/5 of cost))	(5,000)
	10,000

Had the transfer not been made, the asset would stand in the accounts of P (the transferor) at:

	CU
Cost	20,000
Less: Accumulated depreciation at date of 'transfer'	(8,000)
Charge for current year (CU20,000/5)	(4,000)
	8,000

Overall adjustment in CSOFP

	CU	CU
DR Seller's (P Ltd's) retained earnings*	2,000	
CR Non-current assets	2,000	

(* ie adjust in **retained earnings** working)

Note: In this question, as the **parent** is the selling company, **none of the adjustment is attributed to the non-controlling interests**.

CHAPTER 11

Answer to Interactive question 5

	CU
Consideration transferred	80,000
Non-controlling interest at acquisition (40% × 110,000 (W2)	44,000
Less fair value of identifiable assets acquired and liabilities assumed at acquisition (W2)	(110,000)
Goodwill	14,000

WORKINGS

(1) **Group structure**

P Ltd

↓ 60%

S Ltd

(2) **Fair value of identifiable assets acquired and liabilities assumed**

	Year end	= Acquisition date
	CU	CU
Share capital		20,000
Retained earnings	85,000	
Add fair value uplift (30,000 – 20,000)	10,000	
Less goodwill	(5,000)	
		90,000
		110,000

Note: In the assets section of the **consolidated statement of financial position**, the freehold land should be carried at CU30,000. The goodwill in the subsidiary's **statement of financial position** of CU5,000 should not be separately recognised as an intangible asset in the consolidated **statement of financial position**.

Answer to Interactive question 6

6.1 Carrick Ltd's share of Ayr Ltd's post-acquisition movements in equity (W1) = CU2,832,000

WORKING

Fair value of identifiable assets acquired and liabilities assumed

	Year end CU	At acquisition CU	Post-acquisition CU
Ayr Ltd			
Net assets	10,000,000	5,000,000	5,000,000
PPE fair value uplift	1,000,000	1,000,000	–
Depreciation thereon – 3 years = 30%	(300,000)	–	(300,000)
Contingent liability	(80,000)	(100,000)	20,000
	10,620,000	5,900,000	4,720,000
Carrick Ltd's share – 60%			2,832,000

Note: If future events resulted in the contingent liability ceasing to exist (eg, because it relates to a legal claim being defended and the court settles in favour of the defendant), it should be re-measured to CUnil and the whole of the remaining CU80,000 should be released as income in profit or loss for that period. If future events result in the contingent liability crystallising into a liability (eg, because the court settles in favour of the plaintiff), no adjustment would be required to the year-end net assets because the liability would already be recognised by the subsidiary in its separate financial statements.

6.2

	CU
Consideration transferred	8,000,000
Non-controlling interests (40% × 5,900,000 (W1))	2,360,000
Fair value of identifiable assets acquired and liabilities assumed (W1)	(5,900,000)
Goodwill	4,460,000

6.3

	CU
Additional charge for year ended 30 June 20X5 (10% × 1,000,000)	100,000

Answer to Interactive question 7

The accounting policies of Mastiff Ltd and Westie Ltd need to be consistent for the purposes of consolidation. The investment property in the accounts of Westie Ltd needs to reflect the fair value model rather than the cost model. Adjustments are required to:

- add back the depreciation charged; and
- reflect the fair value at the period end.

	CU
Carrying amount of investment property at fair value	2,150,000
Carrying amount in Westie Ltd's SOFP	1,960,000
Increase in carrying amount	190,000

The journal entry required on consolidation is as follows:

		CU	CU
DR	Investment property	190,000	
CR	Consolidated retained earnings (85%)		161,500
CR	Non-controlling interests (15%)		28,500

Under the fair value model, no depreciation is charged and the fair value of the asset is assessed at each period end date, with the gain or loss recognised in profit or loss (retained earnings). As the investment property is held by the subsidiary, the non-controlling interests are allocated their share of the change in retained earnings.

Answers to Self-test questions

1 Black plc

	CU
Retained earnings – Black plc only	24,000,000

No post-acquisition profits have yet arisen in Red plc.

2 Milton plc

	Milton	Keynes	Adjustment	Consolidated
	CU	CU	CU	CU
Current assets	500,000	200,000	–22,000 + 2,000	680,000
Current liabilities	(220,000)	(90,000)	+20,000	(290,000)

3 Laker Ltd

	CU
Laker	6,000
Hammond	7,520
Less intra-group indebtedness	(500)
Total current liabilities	13,020

4 Austen plc

	CU	CU
Austen plc		50,000
Kipling Ltd		30,000
Dickens Ltd	40,000	
Less cash in transit	(2,000)	
		38,000
		118,000
Less intra-group receivables		
Owed to Kipling Ltd (2,000 + 3,000 + 4,000)	9,000	
Owed to Dickens Ltd	3,000	
		(12,000)
Group trade receivables		106,000

5 Ho plc

	CU
Ho plc	750,000
Su Ltd – Ho plc's share of post-acquisition retained earnings	
(60% × (700 – 40) – 300))	216,000
Consolidated retained earnings	966,000

6 Oxford Ltd

	CU
Oxford Ltd	290,000
Cambridge Ltd	160,000
In transit to Cambridge Ltd	20,000
Less PURP ((40,000 + 20,000) × 20%)	(12,000)
Group inventory	458,000

7 Rugby Ltd

The adjustment required following the intragroup transfer is CU8,000.

	Is	Should be
	CU	CU
Cost	40,000	42,000
Accumulated depreciation	(8,000)	(18,000)
Carrying amount	32,000	24,000

Adjustment required:

		CU	CU
DR	Stafford Ltd retained earnings	8,000	
CR	Property, plant and equipment		8,000

PPE in consolidated statement of financial position = 260,000 + 80,000 – 8,000 = CU332,000

8 Lynton Ltd

	CU
Non-controlling interests	
Ordinary shares (25% × (200,000 + 60,000))	65,000

Consolidated retained earnings	
Lynton Ltd	500,000
Pinner Ltd (75% × (60,000 – 24,000))	27,000
	527,000

Note: Redeemable preference shares should be classified as liabilities.

9 Hill plc

Adjustments required:

(1) To account for the interest receivable by Hill plc

		CU	CU
DR	Current assets in Hill with interest receivable	15,000	
CR	Retained earnings of Hill		15,000

(2) To cancel intra-group balances for interest

		CU	CU
DR	Current liabilities in Down	15,000	
CR	Current assets in Hill		15,000

Note: There will be no outstanding balances for the dividends as they have been paid and would not be included as payables even if unpaid.

Summary of adjustment required:

		CU	CU
DR	Current liabilities	15,000	
CR	Retained earnings of Hill		15,000

10 Nasty Ltd

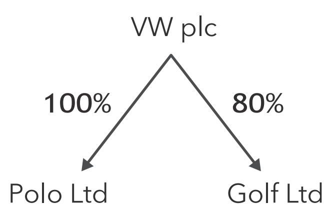
	CU
Ugly Ltd	30,000
Nasty Ltd	20,000
Horrid Ltd	10,000
Less PURP (2/3 × 15,000 × 25/125)	(2,000)
Group inventory	58,000

11 Fallin Ltd

	CU	CU
Ordinary share capital		100,000
Revaluation surplus (25 – 15)		10,000
Retained earnings		
Fallin Ltd	340,000	
Gaydon Ltd (135 – 25)	110,000	
Goodwill impairment to date	(6,000)	
		444,000
Group equity		554,000

12 VW plc

12.1 Non-controlling interest = 20% × (50,000 + 70,000) = CU24,000



12.2 Group inventories

	CU
VW plc	150,000
Polo Ltd	90,000
Golf Ltd	80,000
320,000	
Less PURP	
Note (4) (15,000 × $^{50}/_{150}$ in VW plc's retained earnings)	(5,000)
Note (5) (1/2 × 70,000 – 50,000 in Polo Ltd's retained earnings)	(10,000)
Group inventories	305,000

12.3 Group trade receivables:

	CU
VW plc	250,000
Less intra-group receivable	(20,000)
Polo Ltd	40,000
Golf Ltd	20,000
Less intra-group receivable	(10,000)
Group trade receivables	280,000

12.4 Goodwill to be included under intangible assets = CU20,000

	CU	CU
Polo – consideration transferred		150,000
Net assets		
Share capital	100,000	
Retained earnings at acquisition	30,000	
		(130,000)
Goodwill		20,000
Golf – consideration transferred		70,000
Non-controlling interests at acquisition (90,000 (below) × 20%)		18,000
		88,000

	CU	CU
Net assets at acquisition		
Share capital	50,000	
Retained earnings (70 – 30)	40,000	
		(90,000)
Gain on a bargain purchase*		(2,000)

*Recognised in consolidated statement of profit or loss in period of acquisition

12.5 **Consolidated retained earnings:**

	CU
VW plc	90,000
Less PURP per above	(5,000)
	85,000
Polo Ltd ((40,000 – 10,000 PURP per above) – 30,000)	–
Golf Ltd (80% × 30,000)	24,000
Gain on bargain purchase of Golf Ltd	2,000
Consolidated retained earnings	111,000

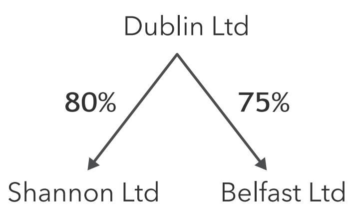
13. Dublin Ltd

Consolidated statement of financial position as at 31 December 20X9

	CU
ASSETS	
Non-current assets	
Property, plant and equipment (90,000 + 60,000 + 50,000)	200,000
Intangible assets (W3)	2,700
	202,700
Current assets (203,000 + 70,000 + 30,000 – 1,000 (W6))	302,000
Total assets	504,700
EQUITY AND LIABILITIES	
Equity attributable to owners of the parent Ordinary share capital	190,000
Retained earnings (W5)	80,900
	270,900
Non-controlling interests (W4)	31,800
Total equity	302,700
Non-current liabilities (loan notes 20,000 – 12,000)	8,000
Current liabilities (150,000 + 20,000 + 24,000)	194,000
Total equity and liabilities	504,700

WORKINGS

(1) Group structure



(2) Net assets

Shannon Ltd	**Year end CU**	**Acquisition date CU**	**Post-acquisition CU**
Share capital	50,000	50,000	–
Revaluation surplus	10,000	10,000	–
Retained earnings (30,000 – 1,000 (W6))	29,000	20,000	9,000
	89,000	80,000	
Belfast Ltd			
Share capital	40,000	40,000	–
Retained earnings	16,000	16,000	–
	56,000	56,000	

(3) Goodwill

	Shannon Ltd	Belfast Ltd
	CU	**CU**
Consideration transferred	50,000	45,000
((80,000 × 20%/56,000 × 25%)	16,000	14,000
	66,000	59,000
Fair value of identifiable assets acquired andliabilities assumed (= net assets)		
Shannon Ltd (W2)	(80,000)	
Belfast Ltd (W2)	–	(56,000)
(Gain on a bargain purchase)/goodwill	(14,000)	3,000
Recognised in profit or loss (impairment) to date	14,000	(300)
	nil	2,700

(4) **Non-controlling interests at year end**

	CU	CU
Shannon Ltd		
NCI at acquisition (W3)	16,000	
Share of post-acquisition reserves ((W2) 9,000 × 20%)	1,800	
		17,800
Belfast Ltd		
NCI at acquisition (W3)	14,000	
Share of post-acquisition reserves ((W2) nil × 25%)	–	
		14,000
		31,800

(5) **Retained earnings**

	CU
Dublin Ltd	60,000
Shannon Ltd (80% × 9,000 (W2)) Belfast Ltd (75% × nil (W2))	7,200
Less goodwill impairment to date (W3)	– (300)
Add gain on a bargain purchase (W3)	14,000
	80,900

(6) **PURP**

CU12,000 × 20/120 × 50% = CU1,000

	CU	CU
DR Retained earnings (Shannon)	1,000	
CR Group inventory (current assets)		1,000

CHAPTER 11

14 Close Ltd

14.1 Consolidated statement of financial position as at 31 December 20X9

CU		CU
ASSETS		
Non-current assets		
Property, plant and equipment (80,000 + 58,200)		138,200
Intangible assets (W3)		61,000
		199,200
Current assets		
Inventories (18,000 + 12,000 – 800 PURP (W2))		29,200
Trade and other receivables (62,700 + 21,100)		83,800
Investments		2,500
	CU	CU
Cash and cash equivalents (10,000 + 3,000 + 500)	13,500	
		129,000
Total assets		328,200
EQUITY AND LIABILITIES		
Equity attributable to owners of the parent Ordinary share capital		120,000
Share premium account		18,000
Revaluation surplus		23,000
Retained earnings (W5)		57,160
		218,160
Non-controlling interests (W4)		6,040
Total equity Current liabilities		224,200
Acquired contingent liability		58,000
Trade and other payables (35,000 + 11,000)		46,000
Total equity and liabilities		328,200

14.2 Adjustments

When group companies have been trading with each other two separate adjustments may be required in the consolidated statement of financial position. When group companies have been trading with each other two separate adjustments may be required in the consolidated statement of financial position.

(1) Elimination of unrealised profits

If one company holds inventories at the year end which have been acquired from another group company, this may include a profit element that is unrealised from a group perspective.

Here Steele Ltd has sold goods to Close Ltd at cost plus 25%. The mark-up of 25% will only become realised when the goods are sold to a third party. Therefore, if any intra-group inventory is still held at the year end, the profit thereon should be eliminated from the consolidated accounts.

This will require an adjustment of CU800 (4,000 × 25/125) which is always made against the selling company's retained earnings ie:

	DR	CR
	CU	CU
Steele Ltd's retained earnings (W2)	800	
Consolidated inventory		800

As well as eliminating the unrealised profit, this reduces inventory back to its original cost to the group.

(2) Eliminate intra-group balances

As group companies are effectively treated as one entity, any intra-group balances must be eliminated on consolidation. Here, intra-group current accounts have arisen as a result of the intra-group trading and these must be cancelled out. Before this can be done the current accounts must be brought into agreement by adjusting the accounts of the 'receiving' company (here Steele Ltd) for the electronic payment in-transit ie:

	DR	CR
	CU	CU
Cash	500	
Current account		500

This will reduce the current account receivable to CU2,700, which means that it now agrees with the payable balance shown in the accounts of Close Ltd.

	DR	CR
	CU	CU
Current account in Close Ltd	2,700	
Current account in Steele Ltd		2,700

WORKINGS

(1) Group structure

Close Ltd

↓ 80%

Steele Ltd

(2) Fair value of identifiable assets acquired and liabilities assumed

	Year end CU	Acquisition date CU	Post-acquisition CU
Share capital	60,000	60,000	–
Revaluation surplus	16,000	16,000	–
Retained earnings			
Per question	13,000		
Less: PURP (4,000 × 25/125)	(800)		
	12,200	8,000	4,200
Contingent liability	(58,000)	(58,000)	
	30,200	26,000	

(3) **Goodwill**

	CU
Consideration transferred	84,000
Non-controlling interest at acquisition (26,000 × 20% (W2))	5,200
	89,200
Less fair value of identifiable assets acquired and liabilities assumed (W2)	(26,000)
	63,200
Impairment to date (500 + 1,700)	(2,200)
Balance c/f	61,000

(4) **Non-controlling interests at year end**

	CU
Steele Ltd – NCI at acquisition (20% × 26,000 (W2))	5,200
Share of post-acquisition reserves (20% × 4,200 (W2))	840
	6,040

(5) **Retained earnings**

	CU
Close Ltd	56,000
Steele Ltd (80% × 4,200 (W2))	3,360
Less goodwill impairment to date (W3)	(2,200)
	57,160